

## *Report of the Finance Department*

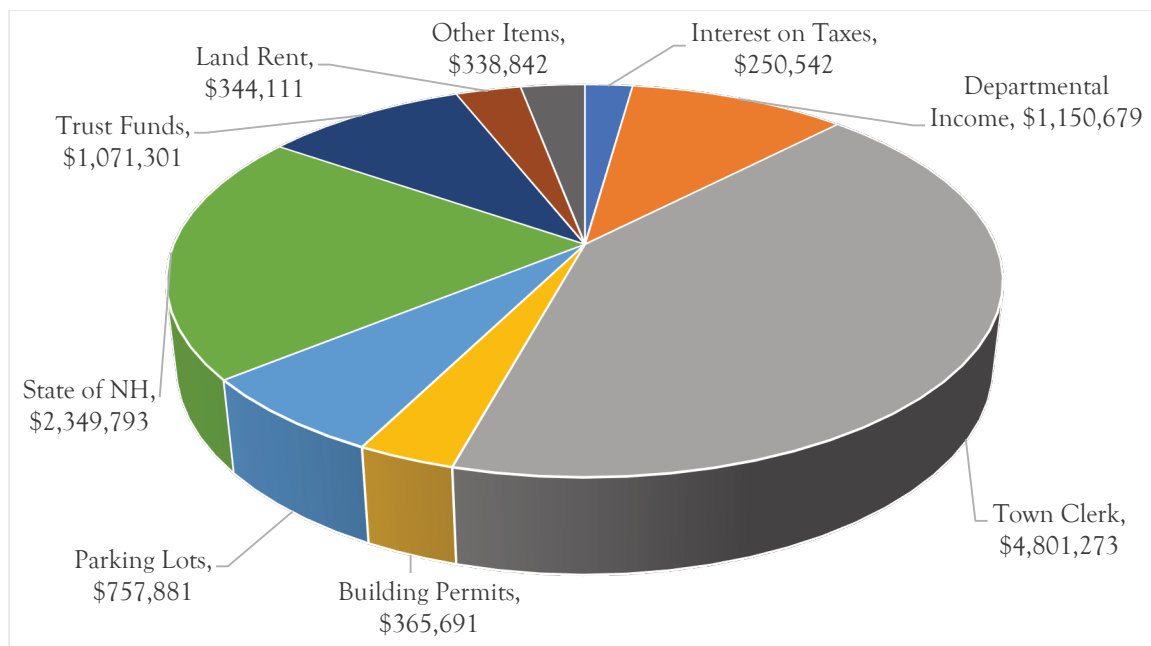
To the Town of Hampton:

The Finance Department prepares and analyzes financial statements which are presented to the Select Board monthly. Some of the other tasks that we complete during the year are assisting with budget preparation, managing financial audit, cash reconciliation, preparing accounts payable/receivables, process payroll, preparing municipal reports, and submitting for grant reimbursements.

In 2025 the Finance Department said goodbye to Diana Collinge (AP Clerk) as she retired to spend time with her family. With the support of the Select Board and union we were able to distribute some duties/job tasks among other Finance staff members and created a position of Assistant Finance Director. In September we welcomed Jeremy Faucher to this role. Although we will all miss Diana's infectious laugh I look forward to expanding this new role in the department.

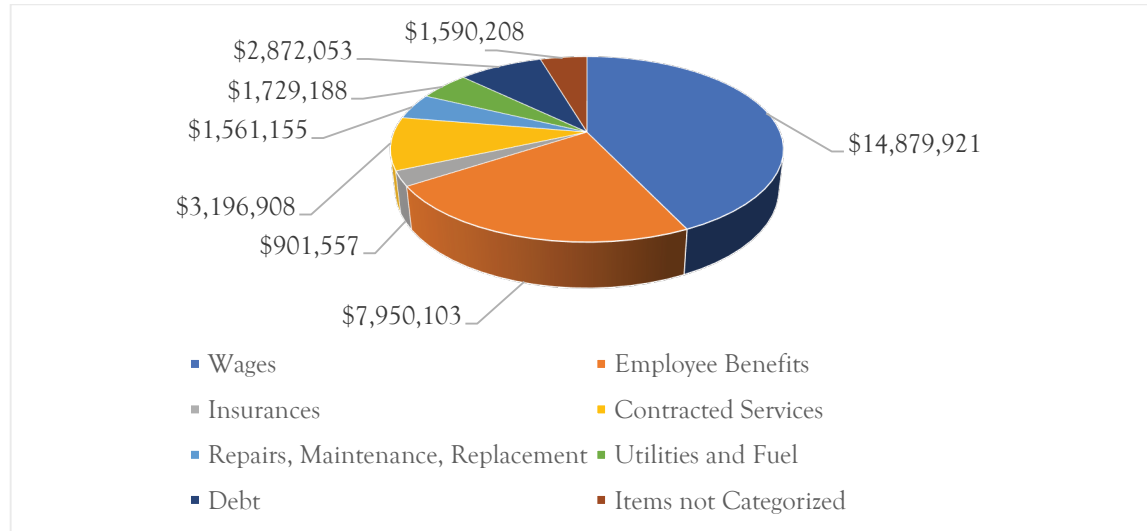
The 2025 unaudited (current year) Income/Expense reports follow the format used when reporting to the Select Board each month and open with a Financial Summary for the year.

Looking at revenues, you will see that we took in \$11,430,113 in revenue from sources such as Motor Vehicle registrations, Building Permits, Real Estate Trust Income, Parking Lots, State of NH, and departmental income, to name a few. The Town's portion of the property tax effort totaled \$28,670,425 with the total municipal tax effort at \$76,574,526. The chart below shows a breakdown of revenues.



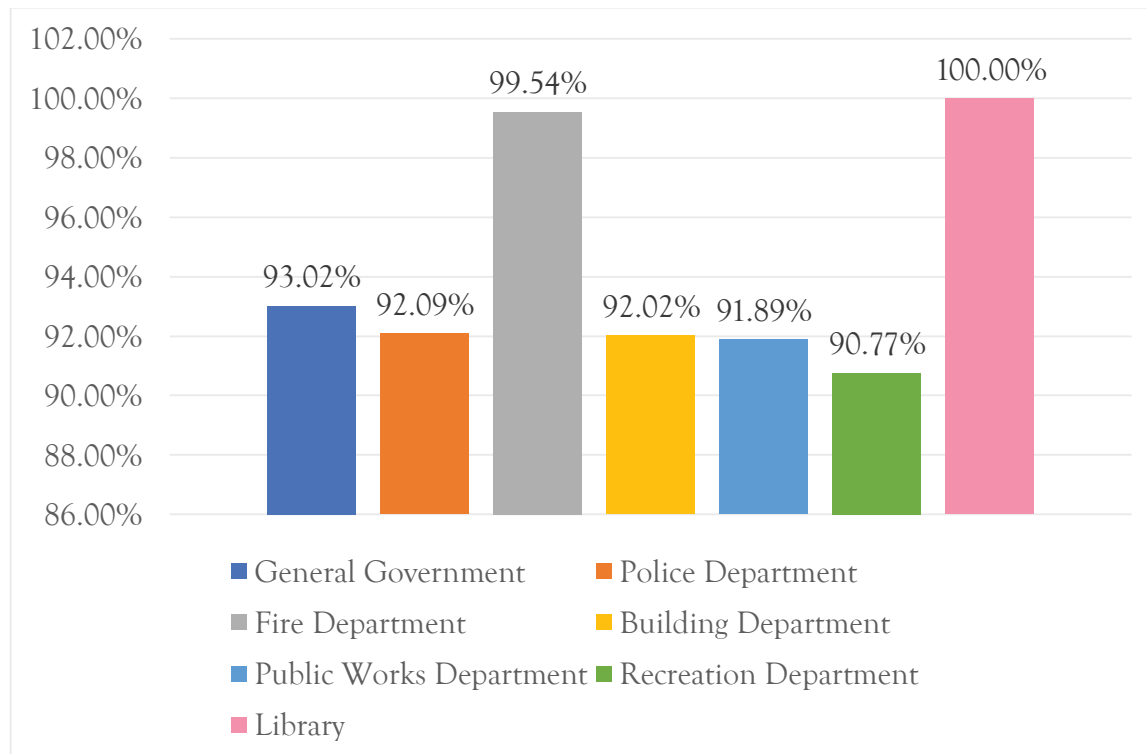
## Financial Reporting

On the expense side you will see that we spent \$34,681,093, which includes purchase orders totaling \$319,892. This puts us at 94.09% spent or under budget by 5.91%. These amounts do not include expenditures related to warrant articles. The chart below shows a breakdown of budget expenditures.



The last page of the expenditure report shows warrant article activity. Expenditures related to warrant articles including purchase orders totaled \$2,993,046.

Below is a representation of where each of the departments ended 2025.



At the end of the financials, you will find reports for some of the other major funds outside of the general fund. The balances of these funds are as follows: Recreation Fund \$137,144; Cable Fund \$1,036,694; Detail Fund \$380,562; EMS Fund \$1,212,762; Recycling Fund \$48,298; and Wastewater System Development Charge \$383,005. There is also a summary of revenues received from grants/donations along with the related expenses.

Understanding the Unassigned Fund Balance is often confusing to taxpayers. In government accounting, fund balance is the difference between assets and liabilities resulting in a surplus or a deficit. A common misconception is that fund balance is a cash account, associated with or correlated to a government's bank account balance. But unlike a personal bank account, a general fund balance is not a "cash-account;" it is a measure of equity between revenues and expenditures. In the private sector it would be defined as a company's working capital, but in the public sector, it is referred to as fund balance. In government finance, the retention and use of unassigned fund balance assists in measuring the financial health of an individual fund, such as the general fund. The 2024 audited Unassigned Fund balance was \$8,823,875.

In March of 2025, the voters passed warrant articles using Unassigned Fund Balance totaling \$867,500. At the time of setting the tax rate the Select Board used \$500,000 to help reduce the municipal portion of the tax rate. Based on the unaudited financials we are expecting to return approximately \$2,179,316 in expenses and be over in estimated revenues by \$1,153,924. We are still processing 2025 invoices so these amounts will change. The unaudited Unassigned Fund Balance as of December 31, 2025, is estimated to be \$9,854,808. The official Unassigned Fund Balance figure will come from the 2025 audit.

The Finance Director is also responsible for overseeing the MIS Team as well as Channel 22. The MIS department consists of 2 full-time and 1 part-time employee. These three employees are responsible for the entire town network/computer system. This includes the Town Office, Recreation, DPW, Fire, Police, and Cemetery. They assist with elections and Channel 22 operations as well. The work that they do to keep everything up and running is outstanding.

I am lucky to have a great team of employees in Finance, MIS and Channel 22. It is a privilege to have a job that I look forward to coming to each day. Thank you to all my staff for all the hard work and dedication that you give each day.

The Finance Department and MIS look forward to another successful year in 2026 and thank all the residents of Hampton for their continued support.

Respectfully submitted,

Kristi Pulliam  
Finance Director